

FM Practice Quiz M4

Question 1

If a stock is currently trading at \$75 and a put option with a strike price of \$80 has a premium of \$8, what is the maximum loss for the put buyer?

- ☐ \$75
- ☐ \$80
- ☐ \$0
- ☐ \$8



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1:14:55

QUESTIONS

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X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

Which of the following is NOT a factor that options depend on?

- ☐ Underlying stock price
- ☐ Stock's volatility
- ☐ Company's market capitalization

☐ Time to expiration

Question 3

If a call option has a strike price of \$50 and the current stock price is \$45, how would this option be categorized?

- ☐ Near-the-money (NTM)
- ☐ At-the-money (ATM)
- ☐ Out-of-the-money (OTM)
- ☐ In-the-money (ITM)

Question 4

A US company expects to receive €5 million in 3 months and wants to hedge against currency risk. The current EUR/USD rate is 1.12. What type of derivative would be most appropriate for this situation?

- ☐ Enter a 3-month Forward contract to sell EUR/USD at 1.12
- ☐ Enter a 3-month Futures contract to buy EUR/USD at 1.12
- ☐ Sell a EUR/USD Call option with strike at 1.12
- ☐ Sell a EUR/USD Put option with strike at 1.12

Question 5

How does the lender's position in a mortgage resemble an option?

- ☐ The lender is short a call option on the house value
- ☐ The lender is long a call option on the house value

- ☐ The lender is long a put option on the house value
- ☐ The lender is short a put option on the house value

Question 6

A farmer buys a call option on seed at a strike price of \$50 per bushel. If the market price of seed rises to \$60 per bushel at expiration, what is the farmer's net gain per bushel if the option premium was \$2?

- ☐ \$12
- ☐ \$6
- ☐ \$8
- ☐ \$10

Question 7

If a house with a \$200,000 mortgage increases in value by 10%, what is the percentage return

on the homeowner's investment if they put 20% down?

- ☐ 10%
- ☐ 20%
- ☐ 50%
- ☐ 40%

Question 8

If you invest \$10,000 in a stock using 2:1 leverage and the stock price increases by 15%, what is your leveraged return?

- ☐ 15%
- ☐ 22.50%
- ☐ 30%
- ☐ 45%

Question 9

What is the primary risk associated with using high leverage in investments?

- ☐ Potential for catastrophic losses
- ☐ Higher transaction costs
- ☐ Reduced liquidity
- ☐ Increased regulatory scrutiny

Question 10

How does the use of options for speculation differ from their use in hedging?

- ☐ Speculation aims to increase risk for potential higher returns, while hedging aims to reduce risk
- ☐ Speculation and hedging both aim to reduce risk

- ☐ Speculation is only used by individual investors, while hedging is only used by institutions
- ☐ Speculation always results in profits, while hedging always results in losses

Question 11

What is the primary characteristic that distinguishes a derivative from a spot security?

- ☐ It can only be traded on regulated exchanges
- ☐ It always has a maturity date under 1 year
- ☐ Its value depends on the value of another security

- ☐ Its value is independent of its underlying securities

Question 12

How might offering non-recourse mortgages with no money down impact the housing market?

- ☐ It would lead to a decrease in home prices
- ☐ It would reduce the number of homeowners
- ☐ It could lead to increased speculation and potential asset bubbles
- ☐ It would result in more stable home values

Question 13

What is the definition of leverage in the context of investments?

- ☐ Diversifying investments across multiple asset classes
- ☐ Borrowing capital to invest more deeply than with cash on hand
- ☐ Borrowing money to pay for bond interest payment
- ☐ Using complex financial instruments to reduce risk

Question 14

In a bull spread strategy, how does selling a call at a higher strike price affect the overall strategy?

- ☐ It has no effect on the potential profit or cost of the strategy
- ☐ It limits the potential profit but reduces the cost of the strategy
- ☐ It increases the potential loss but increases the cost of the strategy
- ☐ It increases the potential profit and reduces the cost of the strategy

Question 15

How does a futures contract differ from a forward contract?

- ☐ Forward contracts are traded on exchanges

- ☐ Futures contracts are traded on exchanges
- ☐ Futures contracts have no standardized terms
- ☐ Futures contracts have no expiration date

Question 16

What is the main similarity between mortgages and options discussed in the lesson?

- ☐ They both exhibit non-linearity
- ☐ They both have expiration dates
- ☐ They both involve exchange rates

- ☐ They both require regular payments

Question 17

How does leverage affect investment returns?

- ☐ It always guarantees positive returns
- ☐ It only affects long-term investments
- ☐ It magnifies both gains and losses
- ☐ It reduces the potential for losses

Question 18

Which of the following best describes the primary purpose of hedging with options?

- ☐ To minimize risk by reducing the uncertainty of outcomes
- ☐ To eliminate all potential losses
- ☐ To maximize profits through leverage
- ☐ To guarantee a specific return on investment

Question 19

Why is volatility considered the most important factor in option pricing?

- ☐ It determines the strike price of the option
- ☐ It directly determines the intrinsic value of the option
- ☐ It influences the expiration date of the option

- ☐ It affects the probability of the option being in-the-money at expiration

Question 20

According to the Merton model, what does stock value represent?

- ☐ A call option on the assets of the firm with a strike price at the debt of the firm
- ☐ The market value of a company's outstanding shares
- ☐ The total value of a company's assets
- ☐ The difference between assets and cash

SUBMIT

